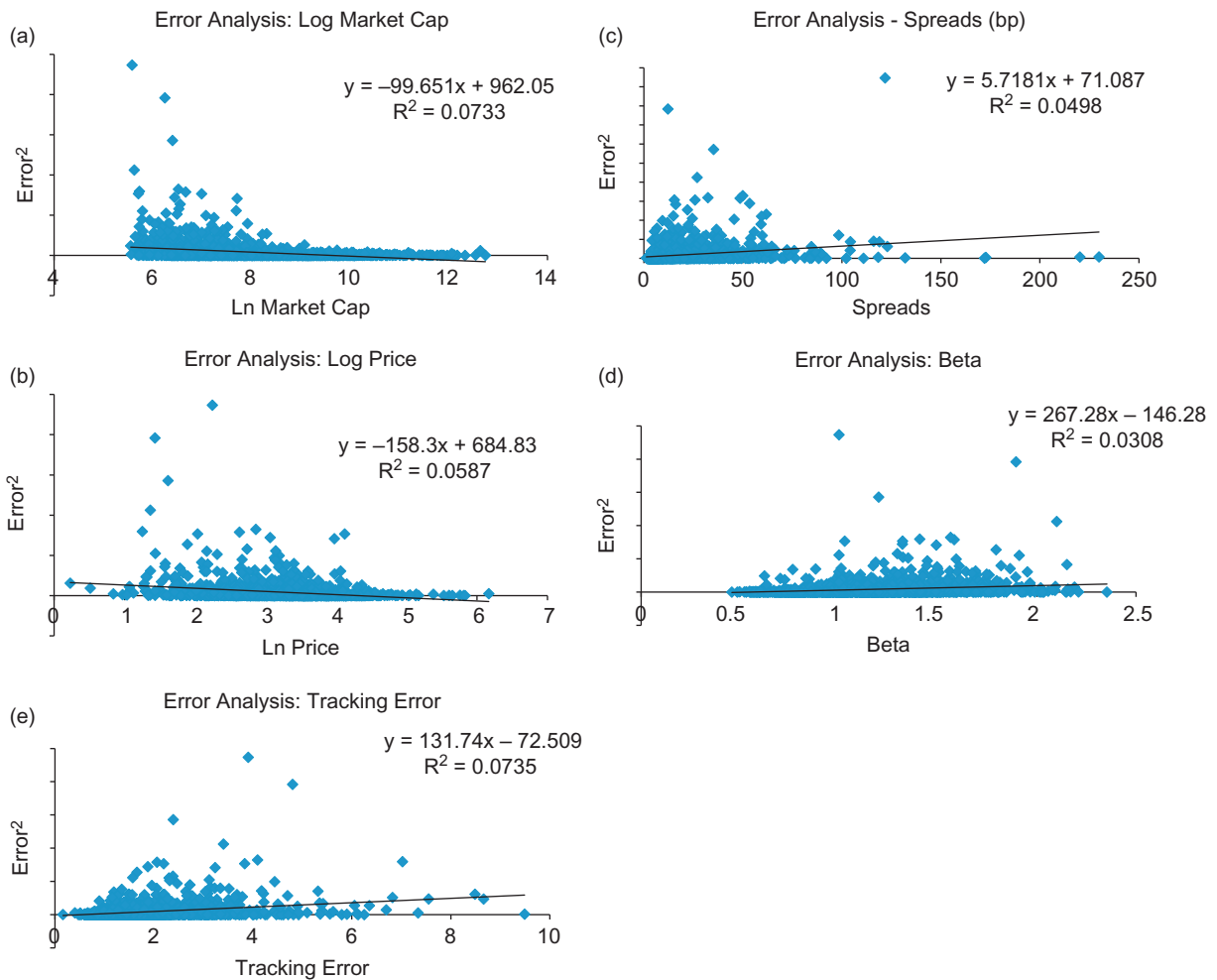




■ Figure 5.9 Error Analysis.

minus actual cost was determined for each stock and the average z-score was also computed for each stock. We then regressed the error squared and the z-score squared against stock specific variables including ln market cap, ln price, spreads, beta, and tracking error. We chose to regress the squared error and z-score metrics in order to determine which stock specific variables, if any, would assist us to understand and reduce the model error at the stocks level.

Figure 5.9a–e illustrates the regression results of the error squared as a function of the variables. As is consistent with previous research studies